

Δ	True materials respond		True materials fixed		Materials channel	
	Estimate	95% set	Estimate	95% set	True M	Tax from output
−30%	264	[49, 480]	223	[0, 439]	−4.4%	−28
−27.5%	214	[2, 426]			−4.0%	−26
−20%	59	[−166, 279]	23	[−180, 240]	−2.9%	−19
−10%	−159	[−372, 51]	−183	[−395, 30]	−1.5%	−10
−5%	−272	[−485, −64]	−285	[−486, −77]	−0.8%	−5
0	−391	[−605, −174]	−391	[−605, −174]	0	0
+5%	−528	[−740, −309]	−512	[−709, −310]	+0.8%	5
+10%	−668	[−882, −468]	−640	[−840, −435]	+1.5%	10
+20%	−965	[−1,180, −733]	−899	[−1,126, −668]	+3.2%	20
+30%	−1,270	[−1,545, −1,013]	−1,163	[−1,386, −867]	+4.8%	31

Real pesos per firm-year, ELVIS interior firms (12,050 firm-years). Net sales-tax revenue = sales tax on sales minus expected claimed purchase credits. 95% set: conservative test, $TS \leq \chi^2_{18,.95} = 28.87$. True materials respond: the materials first-order condition with the two tax rates, capital, labour and productivity fixed. True M : mean change in true materials; tax from output: mean change in the sales tax on sales from the output response. Both come from the data alone. −27.5% is the smallest cut, on a finer grid, whose 95% set excludes zero (true materials respond only).